S&P Capital IQ

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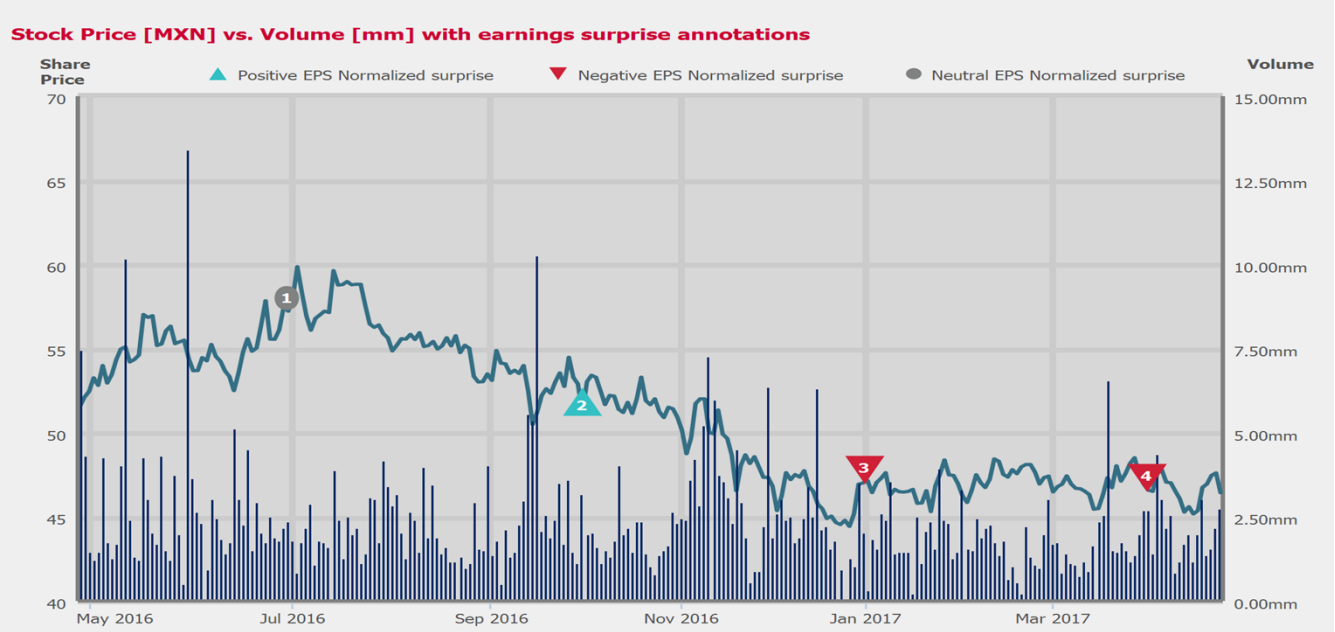
FQ2 2017 Earnings Call Transcripts

Wednesday, July 26, 2017 1:00 PM GMT

S&P Capital IQ Estimates

	-FQ2 2017-			-FQ3 2017-	-FY 2017-	-FY 2018-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS	CONSENSUS	CONSENSUS
EPS Normalized	0.40	0.32	▼(20.00 %)	0.50	1.83	2.23
Revenue (mm)	66684.81	65114.55	▼(2.35 %)	68009.60	272173.22	285354.86

Currency: MXN
Consensus as of Jul-26-2017 9:39 AM GMT



- EPS NORMALIZED -

	CONSENSUS	ACTUAL	SURPRISE
FQ2 2016	0.41	0.41	1 0.00 %
FQ3 2016	0.50	0.51	2 2.00 %
FQ4 2016	0.44	0.04	3 (90.91 %)
FQ1 2017	0.33	0.21	4 (36.36 %)

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Presentation

Operator

Good morning, everyone, and welcome to Grupo Bimbo's Second Quarter 2017 Results Conference Call. If you need a copy of the press release issued yesterday, it is available on the company's website at www.grupobimbo.com. Also, you can find the slides that will be accompanying the second part of the conference call regarding the recent acquisition on the website.

Before we begin, I would like to remind you that this call is being recorded and that the information discussed today may include forward-looking statements regarding the company's financial and operating performance. All projections are subject to risks and uncertainties and actual results may differ materially. Please refer to the detailed note in the company's press release regarding forward-looking statements.

I will now turn the call over to Mr. Daniel Servitje, Chairman and Chief Executive Officer of Grupo Bimbo. Please go ahead, sir.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Good morning, and thank you for joining us. I'm here with our soon-to-be-retiring CFO, Guillermo Quiroz; our incoming CFO, Diego Gaxiola; BBU President, Fred Penny, and several members of our finance team. This is going to be a special conference call because aside from sharing our performance, we will dedicate some time to the acquisition we announced last Thursday, and at the end, we'll open it to any questions you may have.

I will start by highlighting some of our progress on our strategic objectives. These includes our ongoing global expansion with the entrance into high potential markets. Our continued investments in our key capabilities, which includes our commitment to innovation. In that regard, I'm proud to announce the launch of Eleva, our new food technology accelerator that aims to empower, mentor and establish alliances with food industry startups. As for performance, sales and gross profit improved in the period. While integration and restructuring expenses resulted in a contraction at the operating level as well as a lower adjusted EBITDA margin, which are an indication of our investments in future growth.

Let me provide some detail on regional performance. In Mexico, sales rose more than 11% over last year driven by volume growth, continued cost of penetration and some price increases in line with inflation. The sweet baked goods, salty snacks and confectionery categories did well, coupled with gains in our ROE brand among others. We mentioned some of the product launches on the press release, but what is notable is the success of gross market -- gross market efforts such as Little Bites, a market now in Mexico under the Bimbo brand. At the operating level, as expected, we experienced some pressure on raw material cost because of hedges that are in the higher range of the US dollar, an effect that we expect for the remainder of the year. But we were able to partially offset that with savings derived from initiatives like 0-based budgeting and lower marketing and admin expenses resulting in an adjusted EBITDA margin of 16.2%.

Moving on to North America. Sales rose about 7% primarily on FX rate benefit as U.S. dollar sales decreased 1% in the 6 months and overall volumes declined in the low single digits. In the U.S., we continued to experience pressure in the nonbranded and frozen business. Nevertheless, BBU's overall market share grew 0.4 points as our branded portfolio sales rose even in some challenged categories. And performance in the strategic brands was healthy led by Artesano and Little Bites with double-digit gains each. While we don't break down the numbers in our reporting, I will share that profitability in the U.S. is better as we continue to push for greater efficiency within our supply chain and improve our DSD network.

Commodity and energy cost also provided a bit of a tailwind this period. We recently announced a plan to close 2 facilities in Kentucky and South Dakota, further improving our cost structure over the long term.

As for Canada, volumes were slightly up. Categories like bagels and tortillas outperformed. On the downside, we faced 2 instances of labor stoppages in the period, which have since been resolved. We are

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continuing our transformation plan in terms of the ERP migration process as well as efficiency to achieve a linear manufacturing footprint. This includes the closure of our St-Côme facility in Québec in May and another one in the coming months in Calgary, both to achieve also a linear manufacturing profile that will enable us to be stronger and more competitive in the near future.

Overall, operating income in North America rose 14%, and the adjusted EBITDA margin expanded 20 basis points primarily on the back of commodity tailwinds, efficiency throughout the supply chain and a better product mix in the U.S., which more than offset higher expenses in Canada. In Latin America, net sales rose 9% in Mexican peso terms primarily due to our FX rate benefit. While there were some countries in the region that delivered solid volume growth, notably our Latin Centro division, I want to highlight Brazil, which showed the significant improvement. This reflects our recent efforts such as the launch of Artesano, already making Brazil our #2 country for Artesano sales. As well as a more modern manufacturing platform, including a high-speed new line in Rio, expanded distribution and market penetration and labor restructuring efforts, all of which are helping to drive improvements. However, sales were under pressure in Argentina due to economic conditions, and we are now focused on an operational transformation in that country. As for the operating margin in Latin America, the 1.5 percentage point contraction reflected the long-term investments in the region to broaden and deepen our reach to consumers.

Let's move on to Europe, Asia and Africa. The first time we're reporting results as such for this region that includes the U.K. and Iberia operations as before with addition of China, which have been included before in our Mexican results, and the business is added to our global portfolio in 2017 Morocco and India. For the region, sales jumped almost 80% over the same period of last year primarily due to the Donuts Iberia acquisition in Spain and Portugal last year; Ready Roti in India; and Grupo Adghal in Morocco this year, as well as good results of China in the second quarter.

Starting with -- for Iberia. The division is proceeding as planned. We are already generating some of the expected synergies. And our total expenses of EUR 70 million for the integration, mostly occurring in 2017, are aimed at delivering a profitable and well-positioned company for the long term. We're proceeding as planned here, and we're basically on target on our expenses and our revenues. In addition, I can highlight that organic growth in Iberia was solid as the package bread category recovered and our product launches continued to resonate with consumers resulting in growing market share for our brands and becoming for the first time ever, the #1 player in bread in Portugal. I would like to highlight our recent award in Spain from Kantar Worldpanel, which recognized the new launch from our brand, the Rustik Bakery, as the consumer goods product launch of the year for its outstanding results.

Regarding China, we have not spoken much about this operation in the past as it is a relatively small business and has been an investment more in terms of market testing. We are more optimistic about our future there based on favorable growth trends and improving profit metrics. We look forward to providing more color on that business in the coming quarters.

As for Morocco and India, we are in the early learning stages and excited about the plan for growth in these markets and are currently sharing best practices with the teams there and starting to make investments to increase productivity throughout the whole system.

For the region as a whole, we registered MXN 432 million of integration and restructuring expenses on accumulative basis, most of it for Donuts Iberia as planned and in part for the closure of a small plant in Morocco. I would like to have our CFO, Guillermo, share a few words as you probably know he previously announced his retirement effective August 1. He has been a vital part of this company's strategic growth, and we're sorry that this is his final conference call. Yet, I am confident that the structures and processes he put in place across our global finance and administration teams will continue to excel under the leadership of our incoming CFO, Diego Gaxiola, who is also here with us today. Please go ahead, Guillermo?

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Thank you. Thank you, Daniel. It has been a great privilege to know or to be a part of the Grupo Bimbo team. I'm proud of the work we have done together and even excited about what lies ahead for the

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company. I'll be watching you all from the side then, at least for a while. I'm also glad to introduce my successor, Diego Gaxiola, who joins Bimbo from the Mexican Food Service [indiscernible]. He has been here for a number of weeks now, and I know the company and our finance team be in excellent hands.

Diego Gaxiola

Thank you, Guillermo. It has been an incredible honor for me to join Grupo Bimbo and have the privilege of leading the finance team of this great company. I feel very excited about the future growth opportunities for Grupo Bimbo. And I'm very confident that together with the team, we will contribute to accomplish our long-term goals.

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Thank you, Diego. Let me share briefly just a few highlights. First, I would like to talk about Venezuela. Our team there has done a remarkable job in the face of challenges over the past few years. But as you know, today's consumer environment, not to mention the infrastructure required for procurement, sales and distribution are in distress. Therefore, we are changing the accounting method for the financial results. Having said that, starting June 1, our Venezuela operation is being valued on a curve-value basis. This stage generated a net effect of MXN 54 million in negative. We are evaluating mix [effects] to ensure the well-being of our people there and assets as we will continue with our operations in the country.

Next, our effective tax rate continues to be higher year-over-year. As previously commented, this is the effect of no longer carrying deferred income tax benefit in some countries, having better areas in the U.S., which is naturally subject to a higher rate and a higher taxable rate due to inflationary gains in Mexico.

Regarding the balance sheet, some highlights are that we paid down EUR 60 million of our revolving credit facility due 2021. At the same time, the depreciation of the U.S. dollar resulted in a decline in the Mexican peso value of our U.S. dollar denominated debt. As a result, the total debt to adjusted EBITDA ratio declined from 2.8 to 2.5x in year end.

With this, I conclude my remarks and I say thanks very well from this forum. I will hand the call back to Daniel, who will share with you some details of our recent acquisition of East Balt Bakeries.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Thank you very much, Guillermo. And for those of you listening to this call without the webcast live, my comments should be straightforward enough, but you may also want to see the accompanying presentation, which is available on our website.

East Balt Bakeries provides exactly the kind of compelling opportunity we are seeking in terms of complimenting and growing our current food service business and providing further geographic expansion and diversification. The company is one of the leading global food-service focused providers of baked goods to Quick Service Restaurants, or QSRs, in 11 countries around the world. East Balt Bakeries enjoys decades long relationships with some of the world's leading QSRs such as McDonald's, Wendy's, Burger King and KFS, among others. It operates 21 bakeries, employs about 2,200 associates. And in the past 12 months, as of June, generated around $70 million of EBITDA on approximately $420 million of sales. This puts our purchase price of $650 million, which is free of cash and debt at a 9.3x valuation. While East Balt Bakeries is headquarters in Chicago, it is really an international player with a majority of its facilities and revenues located outside of the United States and in the largest and the fastest growing QSR markets in the world. The geographic footprints of the 2 companies intersect in only 3 markets: the U.S., Morocco and China, where our business are complimentary and offer potential for synergies, scale and growth. We also gained entry to 8 new countries through East Balt namely France, Italy and Switzerland in Western Europe; Ukraine and Russia in Eastern Europe; Turkey and South Africa in the Middle East; and Africa; and South Korea in Asia. These are our high-growth markets and represent a potential for us eventually to introduce some of our existing portfolio.

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Before I move on to discussing the industry, I would like to point out that we do currently serve the food service channel in most of the markets where we operate. So this acquisition is a perfect complement to that business and will enable us to grow our presence in this channel.

The QSR industry is a compelling one for us as the industry is in a sustained period of growth, driven by tailwinds in out-of-home spending brand. This is even more pronounced in emerging markets. While worldwide, technology is enabling a more seamless food service experience. As a whole, the QSR industry is expected to grow at a compounded rate of almost 6% per year over the next 5 years. In the regions where East Balt is present, like the Middle East and Africa, that rate is actually expected to be upwards of 9%; in Asia, about 7%; and in Eastern Europe, over 6%.

So not only does East Balt have exposure to some of the largest and fastest-growing QSR markets, it also has the ability to partner with global food service customers across multiple geographies, ensuring them the product consistency and quality they require on a cost-efficient basis.

Beyond the industry dynamics I already mentioned, I will also like to highlight the strength of this company and its differentiated value proposition. The top-notch management team and a big bench of industry veterans has delivered a consistently strong track record of performance. This comes on the back of an efficient business model and long-standing strategic relationship with the largest and most established QSR brands in the world.

Furthermore, along with the quality, reliability, scale and efficiency that supports the company's performance. East Balt has significant expertise in product innovation and high-speed dough processing, a valuable opportunity to share and deepen best practices.

I hope this has provided you with a good overview of East Balt. So now I would like to summarize our acquisition rationale.

We believe this transaction advances Grupo Bimbo strategic objectives with a leadership role in an attractive and resilient global QSR industry, exposure to the fastest-growing markets within that industry, substantial opportunity to our new customers, world-class product innovation and manufacturing capability, an attractive financial profile with robust growth and margin stability, and the opportunity to grow our existing branded business to new geographies. From a financial perspective, this acquisition will be immediately accretive to margins, EPS and profitability without significantly changing the geographic composition of our revenues and EBITDA.

Furthermore, our leverage ratios and balance sheet will remain healthy and manageable and well below our covenants. We will hold about $4.6 billion of debt with a 2.8x total debt to adjusted EBITDA ratio, up slightly from our 2.5x as of June and similar to the leverage ratio that we had at the end of the year. By utilizing over 30% of our existing revolving credit facility of USD 2 billion with a cost of LIBOR plus 95 basis points. In doing so, our currency mix will not be affected in a material way, with a US dollar portion rising from 62% to 67%.

To close my remarks, I would like to give you the final footprint of the combined companies. Following the East Balt integration to our business, Europe, Asia and Africa region will include 2/3 of East Balt results and the rest will be included in the North America region, once we obtain regulatory approvals, which we expect during this second half of the year.
Well, this concludes our remarks this morning. We look forward to welcoming the East Balt team to the Grupo Bimbo family. And now we are available to take questions. If -- Brandon, you could help us with that.

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Question and Answer

Operator

[Operator Instructions] Our first question comes from Lauren Torres with UBS. I'm sorry, we lost her real quick. We have Álvaro García with BTG.

Álvaro García
Banco BTG Pactual S.A., Research Division

Daniel and Guillermo, good morning. I have one question on East Balt. I'll leave it to one and I'll circle back. I have obviously, a whole bunch. But my main question is what sort of synergies do you envision? Not so much at the East Balt level, but for Grupo Bimbo's current businesses directed towards QSR in Mexico and Latin America where we know you had relationships with McDonald's and Burger King in the past. What are some of the things Bimbo can learn from East Balt. And on this note, I mean, if you could share the relative profitability of your businesses in this QSR channel vis-à-vis you consolidated profitability, that would really help. That's my question.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes, good morning, Álvaro. Well, let me tell you that what we're seeing from East Balt is that it does many things similar to what we do in the rest of our food service business, and some others that are different. We -- what we are gaining is more exposure from these customers on a global scale. And that, I -- we believe, is going to be beneficial for the business as we basically have a more streamlined and organized way of aligning ourselves with these large customers. In reality, for us, this has been not a significant part as it will be now for us. So the level of attention and service and the integration that we will have, hopefully, not only in the current East Balt territories but within our global footprint, will be larger and better. We also, as expected, hope to have other synergies on the procurement side as well as admin in general, no? But I would say that the attention to level and that the model of basically delivering and making the products will be over time streamlined in all geographies.

Operator

Our next question comes from Lauren Torres with UBS.

Lauren Elaine Torres
UBS Investment Bank, Research Division

Can you hear me?

Operator

Yes, we can hear you.

Lauren Elaine Torres
UBS Investment Bank, Research Division

Great. Sorry about that. Question on Mexico, you talked about volume growth and pricing growth this quarter, but then experiencing some of these effects related to hedging pressure in the second half. Could you just talk about what you're seeing right now? I mean, on all those fronts, I guess, on volume, do you think that's mostly related to some of these new launches? Or you're seeing some good organic growth there? And in my -- with that question on pricing and the cost environment, is the pricing in place to kind of manage through this tier or should we see, I think, you said similar margin pressure in the second half, but in light of the hedges that you have in place, is there more need for pricing to be passed through?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

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Yes. We're very happy with our Mexican operation, and on line and even a little bit better than expected on our profit numbers. So this was a year that given all the upheaval on the international front and the devaluation that we had at the beginning of the year, we expected a higher cost of the dollar. And therefore, we basically bought futures with that expectation. It turned out that the upheaval didn't materialize at least in this time of the year in the change rate. So we are now paying that extra infrastructure cost, but it was a prudent decision that we took, and we will be basically with that cost for the remainder of the year. Nevertheless, we are seeing continued growth on volume in all lines of business in Mexico. And the strength of the distribution of our marketing as the marketing of our brand is performing as well. And we basically are not planning for big changes to our strategy in the remainder of the year. So we hope it will perform well and would add to our business as it's doing right now or even a little bit better.

Lauren Elaine Torres
UBS Investment Bank, Research Division

Just a follow up on that. You said volumes improving across most or all categories. With the pricing in place, do you feel that's a reflection of some of the new products brought into the market? Or is it just continued good organic growth from reoccurring products?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

It's a mix of both. As always, we are continually bringing up new products. But I would say that the business is performing on both ends with good success on new products and basically a good stable growth in most of the categories of our company. So all in all, I would say that I'm very happy with the business in Mexico.

Operator

[Operator Instructions] Our next call comes from Alex Robarts with Citi.

Alexander Reid Robarts
Citigroup Inc, Research Division

Congrats on East Balt. I was keen on maybe flushing out a couple of issues that you bring up. I mean, first of all, when we think about what East Balt can deliver from a top line growth perspective, we just kind of checked a little bit with McDonald's and Wendy's and it seems that they talk about a global sales guidance range of 2% to 3%. I see that you have the U.S. here at about a 4% growth. I'm wondering what could explain this difference, is 5.8% global number, does it include a lot of the specialty retailers where you are not -- where East Balt is not and where it would like to go? So I guess, maybe the first question is if you could kind of give us a sense of where do you think -- what could be a range for top line growth at East Balt and what was it in fact last year? Secondly, when we think about investments, right, this is -- as you said, it's 8 new countries, how can you -- how do envision kind of building out your infrastructure here? What kind of investments might you need to make that you could share with us, maybe, to kind of understand the CapEx requirements and the build out that's needed? And I guess, kind of, third is more of a strategic part of this larger question. Going into 8 countries in food servicing, you've typically kind of built a business around brands and retail. And as we think about food service, right, brand is not as relevant, it could be. Does this move, make or suggest that Bimbo is looking to really over time expand more in the food service? And can we expect maybe some M&A in these new markets on the retail kind of branded side? So I know those are lot of questions, but thanks very much for any comment that you can make on those.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Thank you very much, Alex. The other one, I don't know, maybe 5 questions. I'll try to see if I can answer all or some of them. Well, our numbers according to your monitors grows around 6%. But let me tell you that what we are very enthusiastic about are sort of the potential on 2 areas: one is in China because our 2 main customers have just recently refranchised the business. And there are; goals and targets on

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both the entities to speed up the growth in the coming years. We also have, within these acquisitions, new investments that have been already agreed upon and that will be materializing in the coming year in terms of new plants and lines basically in Europe with added growth of the businesses in those countries. So all in all, in the short term, we expect good growth coming out of these 2 regions. Now strategically, if you look at our mission, we are basically a broad bakery business, and our intent is really to satisfy our consumers, providing baked goods in the hands of all, and that means really trying to connect with consumers on different food occasions and times of the day. And it's not a departure of our strategy, it's basically a way to further strength our capabilities in serving the food service business, which what we have been doing for over 60 years now of our 72 years of existence. We're still true to our accord, but we believe that now we have added capabilities to better serve these customers in a much more professional manner than we have been doing in the past. So I think we have the capabilities to do that. The 8 new countries will not be basically adding a lot of burden to our business because they will be managed by this division. So at the end of the day, we are not expecting to add a lot of complexity in our company. Basically, that would be my take on the questions.

Operator

Our next question comes from Pedro Leduc with JP Morgan.

Pedro Leduc
JP Morgan Chase & Co, Research Division

Two quick ones, please. First, on the U.S., we're seeing some raw material volatility, on wheat and others. So I'm wondering how you are positioned and how your outlook is for gross margins? We saw the second quarter margin gains coming from this level, so I'm wondering how you see it going forward. And then second on East Balt, do you foresee any sort of the restructuring cost and investments that are needed? Or how you are looking at liabilities? Is there anything off balance sheet that we should watch out for here as well?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes. We are very comfortable with the numbers on the East Balt business, and we're not foreseeing any impact on the integration side as it would be basically maintain as a standalone entity. On the wheat features change, yes, it has increased significantly in the past 2 weeks. We have a long coverage of our wheat futures, so we are not being impacted in the short run. And we're, obviously, looking at these situations with a lot of care. And we will basically adjust ourselves as we have in the past with all these commodity changes. But for the short term, we are not foreseeing any material impact to the company as we are recovered.

Operator

Our next question comes from Luca Cipiccia with Goldman Sachs.

Luca Cipiccia
Goldman Sachs Group Inc., Research Division

I wanted to follow up on the North America business. I think you commented on closures of 2 plants in the U.S. and 2 more planned in Canada. Can you give us a bit more background on the size of these initiatives? And why now? And also, how do they fit within the ongoing restructuring or resizing that we've been through especially in the U.S. over the last few years? And what do you spend on it? And how much of more these opportunities you think that may continue to be and what type of investments and restructuring they may require? So that's the first question. And the second. Again, we saw a very high effective tax rate, I think we have discussed in the past what has been driving that, but I was wondering if you can give us an update on what opportunities there maybe to take that down a bit or any guidance for the rest of this year or for next year or whether we should consider this level to be sustained for much longer?

Daniel Javier Servitje Montull

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Chairman, CEO & Member of Advisory Board

I would say -- on the restructuring side, I would say, look, this is a never ending process. As we streamline and improve our efficiencies in our plants, we are always looking at the cost per unit effect on all of our plants. And we're always striving to do better. When we operate at a better rate, we can bring more volume to the most efficient plants. And if there is an opportunity to have a structurally better performing company, we will take that. And we are constantly opening lines in different parts of the world and shutting down lines or plants if we can do it. Because as we have always said our intent here is not basically to work for a quarter or a year, we are long-term builder of a competitive advantage in our industry. And that requires us to look at the opportunities with the long-term purpose. So these closures are part of a plan that will continue to be implemented over time here and also in all markets. In North America, basically the plants that are planned for closing or closed already are small plants, old plants. Most of them 1 or 2 line plants. So we are doing this with utmost care and respect for our people. But we are very clear on our strategy of really being a very efficient producer in our field, and that requires investments and also decisions to close underperforming plants. Now that's the first part, and I'll let Guillermo answer the second question.

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Well, yes. Unfortunately, we're suffering from a very high tax rate. Let me try to explain that. We can divide out basically in 2 sets. The first set we call it a structural -- structural effect. Basically, the main numbers are coming from 3 sources: first, the higher rate that we have -- the highest tax rate we have in the U.S. that is subject to a higher tax rate for such, that's a good news. But the higher the profit in the U.S., the higher the tax rate will be. Secondly, we have to remember that in Mexico, since, if I recall well, 2014 or '15, almost half of the French benefits are not completely taxed. Well, only half of deductibles that is costing us an important amount. And also as the inflation in Mexico has come up, there is a tax on what authorities call the monetary gain, so that we'll also be seeking a well -- those structure of things, we cannot change. But it's specifically the impact coming from inflation where it should come down if the Mexican inflation comes down as well. I think...

Luca Cipiccia
Goldman Sachs Group Inc., Research Division

But if I was to isolate this, this would give what? As a tax rate? Slightly north of 30%, I would assume? If you were to take [indiscernible].

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Yes, not. 30% is about the minimum because remember, it's 30% in Mexico. So...

Luca Cipiccia
Goldman Sachs Group Inc., Research Division

So about, between 30% and 35%.

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Yes, so it has to be a bit higher. As I was saying before, the higher the profit was in U.S., the higher the tax will be, which is a good news. And then we have a second explanation, which I'd personally call the [certain peak] the tax rate, that is the effect coming from the not registered and deferred taxes in our companies that are losing money, especially [indiscernible] from South America. So in terms of writ of rate, I would say that it's about the cost 5 or 6 points. So that's should be -- or must be corrected over time as these subsidiaries go back to a predictable level.

Luca Cipiccia
Goldman Sachs Group Inc., Research Division

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Okay, thank you. But there is no -- so but for more you say that really would be the incremental driver in LatAm in particular starting to deliver more profit that could bring the effective tax rate down, but without that happening, this level between 40% and 45% is probably what we should consider?

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Yes. But I would think more on 35%, 36%.

Operator

Our next question comes from Isabella Simonato with Bank of America Merrill Lynch.

Isabella Simonato
BofA Merrill Lynch, Research Division

I have 2 questions. First, on the U.S. this quarter, you mentioned that you had some labor costs in Canada because of a strike. If you could tell us how much that impacted the EBITDA in this quarter? And second, regarding East Balt, you mentioned that one of the opportunities is to sell or grow Bimbo's branded portfolio in your markets. If you could just give us more color how that would work? And if you could explain to us how the distribution network of East Balt is restructured?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes. The impact in North America was basically in Canada. And it was up about around CAD 9 million to CAD 10 million. On the second question, the distribution system of East Balt is different from the one that we have on our system in other parts of our network, and it will remain different -- remain separate. It's mostly frozen distribution that goes through third parties and in some cases are their own frozen solution network routes. So we will maintain it, obviously, as it is. And there are no synergies planned in that regard. Obviously, the teams are looking at opportunities to take advantages of the manufacturing capabilities in the countries where we have plants from both sides of the business. And hopefully, some synergies can occur as well from that review.

Isabella Simonato
BofA Merrill Lynch, Research Division

Thank you. But regarding -- how do you plan to grow the branded portfolio? How would that -- how would you leverage East Balt structures in order to do that?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes. We don't have any immediate plans on leveraging our branded portfolio in the countries where we are not present right now. So we're just -- we'll keep it as a food service business in those countries and nothing special in that regard.

Operator

[Operator Instructions] Our next question comes from Felipe Ucros with Scotiabank.

Felipe Ucros Nunez
Scotiabank Global Banking and Markets, Research Division

Maybe turning a little bit to South America, profitability on the LatAm part has been suffering a bit lately. With the company, we can figure some of these operations. Can you please give us an update on the timeline on when we might expect to see an inflection point in this region? And eventually, what margins you think you can achieve in the long term? And then, turning a little more to the macro side in this region. It seems that some of the other food companies that have been reporting over the last few weeks are quite a bit more upbeat about what they think can happen in Argentina and Brazil over the second half of the year and even more so in 2018. But your commentary didn't seem so upbeat, and particularly,

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it seems that in Argentina, the operation is still suffering. Can you please give us some detail in terms of what you're seeing in terms of behavior of a general consumer in these countries? And what you see in the next, maybe, year to 3 years in those regions?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes. Well, as you are well aware [indiscernible], the region as a whole has decreased its growth rate as it moves from the commodity impact. In general, I would say that we're seeing a softness in the market and still we're expanding on some countries significantly. We're -- we will be opening a very large plant in Columbia in the coming weeks or months. And we're expanding distribution in all countries. In Argentina in particular, we are facing still the impact of 2 effects, which further complicate our numbers. One is the startup of our Cordoba plant and then the integration of our frozen business where we have 2 plants and we are in the process of consolidating into one over time. Argentina. It's a top market in terms of basically how the market is performing from the disposable consumer point of view. So it's a challenging situation in the short term. Although, we are quite upbeat about the possibilities of the country in the medium and long term as we're seeing it right now. In Brazil, we have made some changes. So volume declined significantly as we increased prices there, and we did a lot of changes in the past, I would say, 18 months. But we are more bullish than ever on what we're doing there in that country. And in part through our distribution plans, in part due to our marketing efforts, most notably on the bread side, which is performing very well. So I'm upbeat on Brazil, although Brazil, it's a complicated market and we truly have to do everything well. But I would say that we are on the right track there. So all in all, what I would say is that we're doing as planned in the whole region. It's not an easy region. It hasn't been an easy region for us. But I'm more hopeful on the prospects of a better performing region now than I have been in the past.

Felipe Ucros Nunez
Scotiabank Global Banking and Markets, Research Division

Okay. And do you have any idea of when you would expect an inflection point for the region?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

I hope that you will be seeing them over the next quarters. I'm a bit concerned in the short term for Argentina, but I am more bullish on the whole -- on the region as a whole.

Operator

Our next question comes from José Yordán with Deutsche Bank.

José Juan Yordán
Deutsche Bank AG, Research Division

I have a similar question on the new EAA division. I mean, obviously, restructuring cost in Spain, et cetera, have been digging you into a negative EBITDA in the last couple of quarters. You mentioned some one-time costs in terms of integrating Donuts Iberia and plant closure. If you can give us an idea of the magnitude of that charge, it would be great? And kind of some idea how should we think about second half profitability in this business. I'm assuming for 2018, once you integrate East Balt into -- 2/3 of East Balt into this unit that it will go into a positive mid-single-digit-or-so margins. So am I on the right track there? And again, any guidance on how should we think about the second half based on how much of the second quarter was one-time, would be helpful.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes, good morning, Jose. As you probably remember or it would be good to clarify to you and to all the audience, we had been very consistent on the cost of the integration of the 2 systems even before the deal was consummated. So our expenses that will be hitting and have been hitting the P&L for the region, we've always mentioned that it will be in the range of EUR 70 million coming on mostly on

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happening in 2017. So the bulk of this EUR 70 million already happened in the first semester and will be happening in the second semester of this 2017. And these will be hitting the operating profit. So I mean, this is no surprise and I think it's very important that we are all in the understanding that we are trying to -- what we -- basically it's a 2 effect that happened here. One was the unloading of the bread business from Panrico that happened in April. And then it's the restructuring of the value chain brands. But mostly, duplicate structures on the distributions end that will be -- have been streamlined and will be streamlined for the remainder of the year as we move from one province of strength to the other, aligning the distribution to the new portfolio products that we have without the bread of Panrico. And basically in a new model of having Donuts Bimbo portfolio in the new structure of the routes. So we hope to conclude most of it during this year, and probably part of the remainder will be going into the first quarter of 2018. It also includes the integration of our systems, IP systems, as well as a new structure for our management team. So that's ongoing, that's happening. We're on target. And I would say that we are very happy, very happy with what's happening in the market on the performance of our commercial teams in Portugal and Cannery Islands and the mainland in Spain. So I think I gave a lot of color on these. It's very important for me so that you understand that it's not a surprise. It's not like a disappointing view from us. We're very bullish on what our teams are doing out there in Iberia.

José Juan Yordán
Deutsche Bank AG, Research Division

I understood. So if I interpret your comments correctly, out of the EUR 70 million of integration and restructuring cost, maybe you've spent 40% or so, so far at the half-point mark of the year?

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

I don't have that exact number but it would be nearly 1/3, I don't know. But it's more or less on that range.

Operator

This concludes the question-and-answer section. At this time, I'd like to turn the floor back to Mr. Daniel Servitje for any closing remarks.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Well, thank you all for your time today, and please do not hesitate to contact us with any further comments or questions you might have.

Operator
Thank you. This concludes today's presentation. You may disconnect your line at this time, and have a nice day.

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